

China Leads Asia Startup Funding Slide In First Half Of 2025

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Investment in Asian startups hit a multiyear low in the first half of this year, ameliorated somewhat by a slight funding rise in the second quarter.

Startups in the region pulled in just \$26.2 billion in reported seed- through growth-stage funding in the first two quarters of the year, per Crunchbase data. Of that, \$13.5 billion was in Q2 and \$12.7 billion was in Q1.

Asia Venture Dollar Volume Through Q2 2025

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	6%	-19%

crunchbase

Overall, funding in the first half of 2025 was down roughly a third from the same period last year. Deal volume also declined, with reported deal counts at every stage lower in the first two quarters of 2025 than year-ago levels.



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China venture funding falls, while India shows slight Q2 rise

Country by country, the funding picture was more mixed.



China posted the region's largest decline, with just \$5.1 billion in reported funding for Q2 — down 13% quarter over quarter and 34% year over year. The lackluster quarter comes amid an extended period of declining startup investment, driven by [factors including](#) a paucity of IPO and M&A exits, more heavy-handed government involvement in the space, and a slowing economy.

Per Crunchbase, the largest rounds for China-based startups included a \$207 million reported financing for AI chip startup [Biren Technology](#) and a

\$181 million investment in [SAIC Mobility](#), the ride-hailing unit of carmaker [SAIC Motor](#).

Funding to India, the second-largest Asian venture market, looks more stable. India-based startups pulled in \$3.2 billion in Q2, up a bit sequentially, though down year over year. Logistics was a hot area for investment, with some of the quarter's largest rounds going to natural gas-powered trucking provider [GreenLine](#) and delivery platform [Porter](#).

Israel, meanwhile, saw a rise in funding, with startups pulling in \$1.9 billion in Q2, the highest quarterly total in more than two years. Cybersecurity and AI were leading focus areas in Israel, with threat detection platform [Cato Networks](#) landing \$359 million and enterprise AI startup [AI21 Labs](#) securing \$300 million.

Funding to Japan and Singapore also rose sequentially in Q2.

Late stage and technology growth

Late- and growth-stage funding for Asian startups ticked up a bit in the second quarter to hit \$6.4 billion. Even with that rise, however, it was still one of the weaker periods in recent history.

As for deal volume, we counted 155 reported rounds in Q2, up a smidge from the prior quarter.



Early and seed stage

Early-stage investment was flat quarter over quarter in Q2, while deal counts rose slightly. Investment hasn't been especially volatile for the past five quarters, charted below, ranging from \$5.5 billion to \$7 billion.



Seed dealmaking, meanwhile, declined some based on reported totals, with roughly \$1.6 billion invested across 827 known deals in Q2. We expect these numbers to rise a bit over time as more deals are added to the dataset weeks or months after they close.



Plenty of potential to rise from here

Given that Asia is home to [roughly 60%](#) of the global population, it's obvious that there is room to improve in startup investment. China and India in particular look underfunded relative to their enormous populations, high levels of tech talent, and vast domestic markets.

In coming quarters, we'll get a better sense of whether startup investors also share this viewpoint.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Provisional data reported is as of July 3, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted.

Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other

financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Illustration: [Dom Guzman](#)

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